

Housing Context and Economic Impact

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Housing Demand and Supply Challenge

Metric	Value
Urban population	22% of Kenyans live in cities
Urban growth rate	4.2% annually
Annual housing demand	Approximately 200,000 units
Annual housing supply	Only 50,000 units built
Annual housing deficit	Growing by 150,000 units per year
Total housing deficit	Estimated at 1.9 million units
Qualitative housing deficit	1.8 million units
Housing price increase	100% since 2004
Mortgage penetration	Approximately 25,000 mortgages
Formal housing targeted to lower income	Only 2%

Impact of GDP

Metric	Value
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Current GDP contribution	7% from real estate and construction
Target GDP contribution	14% (since achieved)
Economic multiplier	USD 1.5 - 3 induced for every USD 1 invested
Revenue generation	Through processing of permits, approvals, and related activity

Job Creation

Metric	Value
Direct jobs per unit	3-5 new jobs created
Indirect jobs per unit	Up to 8 indirect jobs
Total jobs created (2022-2026)	640,442
Projected jobs across lifecycle	Over 1 million
Labour value capture	Up to 10.5% of value created

Economic Impact Case Studies

Mukur Social Housing Project (Nairobi)

- **Investment:** KES 11 billion directly injected into the local economy
- **Ripple effect:** Estimated KES 28 billion when accounting for auxiliary economic activities
- **Jobs:** 160,000 youth work daily on AHP projects across Kenya
- **Local economy:** Small businesses (eateries, hardware shops, transport services) thriving

Homa Bay Affordable Housing Project

- **Workers employed:** Approximately 2,000 skilled and unskilled workers
- **Jua Kali artisans:** KES 11 million paid for doors and windows
- **Women groups:** KES 1 million earned for landscaping services

Homa Bay Modern Fish Market

- **Investment:** KES 345 million
- **Beneficiaries:** 2,000 fishmongers

Formalization of the Informal Sector

Ring-fencing strategies ensure that the Jua Kali sector can supply inputs to the programme. Light industries also have the opportunity to provide construction materials such as cement.

MSME Ring-fencing

Total ring-fenced KES 11 billion for Jua Kali artisans and MSMEs

Key building

inputs 79 items must be sourced locally from registered MSMEs and Jua Kali industries

Economic Stimulus Markets (ESP)

- **Markets being built:** 400 across the country
- **ESP markets at various stages:** 201
- **Modern markets at various stages:** 29
- **Traders per ESP market:** Up to 300